Cupid Limited Stock Analysis

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Executive Summary

Cupid Limited (CUPID.NS) is a key player in the Consumer Defensive sector, specifically within the Household & Personal Products industry. Founded in 1993 and headquartered in Nashik, India, the company specializes in designing, manufacturing, and exporting a wide range of products including male and female condoms, personal care items, and diagnostic kits. With a current market capitalization of ₹10,921 Crore and a recent strong financial performance, Cupid has demonstrated significant growth potential. The stock is currently experiencing a 'strongly bullish' sentiment, which reflects investor confidence in its growth trajectory. The robust financial metrics, including a profit margin of 28.23% and a net profit of ₹83.48 Crore, further bolster the investment thesis. Overall, Cupid Limited is positioned for continued growth, driven by its innovative product offerings and expanding market reach.

Company Overview

Founded in 1993 with headquarters in Nashik, India

Specializes in household and personal products including condoms and personal care items

Geographic presence across multiple continents including Africa and Europe

Cupid Limited has established itself as a prominent manufacturer in the personal care sector. The company's diverse product portfolio includes not only male and female condoms but also a range of personal care products such as deodorants and lubricant jellies. With a workforce of 217 employees, Cupid has successfully expanded its reach, exporting to various countries across Africa, Europe, Asia-Pacific, North America, the Middle East, and South America. The strategic focus on innovation and quality has positioned Cupid as a trusted brand in its industry.

Financial Performance

Revenue (TTM): ₹294.23 Crore

Net Profit (TTM): ₹83.48 Crore

EBITDA: ₹91.23 Crore

Earnings Per Share (EPS): ₹3.11

Total Assets: ₹152.00 Crore

Total Liabilities: ₹44.20 Crore

Profit Margin: 28.23%

Market Capitalization: ₹10,921 Crore

Financial Analysis

Cupid Limited exhibits a strong financial profile characterized by high profitability and effective asset management. The company's revenue has increased significantly, reflecting a year-on-year growth trend, while net profit margins remain robust at 28.23%. With an EBITDA of ₹91.23 Crore, Cupid demonstrates solid operational efficiency. However, the company maintains a relatively high PE ratio of 131.00, indicating that investors may be pricing in optimistic future growth. Furthermore, the debt-to-equity ratio of 7.02 highlights a leveraged capital structure, which, while manageable, warrants close monitoring. The combination of strong revenue growth, healthy margins, and effective cost management makes Cupid an appealing investment, although potential valuation concerns exist.

Technical Analysis

Current Share Price: ₹406.00

52-Week High: ₹526.95

52-Week Low: ₹55.75

Average Volume: 98.61 L

Beta (Volatility): 0.00

Recent Price Change (1 Day): +7.12%

Recent Price Change (1 Month): +7.85%

Market Position & Competitive Landscape

Promoter Holding: 45.56%

DII Holding: 30.00%

Competing with major players like Godrej Consumer Products

Strong financial metrics compared to competitors

Cupid Limited operates in a competitive landscape dominated by established players such as Godrej Consumer Products. Despite the competition, Cupid's financial metrics, including a profit margin of 28.23% and a market cap of ₹10,921 Crore, position it favorably within the sector. The company’s significant promoter holding of 45.56% indicates strong insider confidence, while 30.00% DII holding further reflects institutional interest. Cupid's focus on product innovation and expanding market presence is crucial for maintaining its competitive advantage.

Current Market Sentiment

Overall Sentiment Score: 70.2/100 (Strongly Bullish)

News Sentiment: 89.6/100 (Strongly Bullish)

Twitter Sentiment: 56.1/100 (Neutral)

Positive News: 140% YoY rise in net profit

Negative Pressure: Broader market selloff impacting sentiment

Analysts recommend a 'Buy' rating based on recent performance

Future Outlook & Growth Drivers

The outlook for Cupid Limited appears promising, driven by robust revenue and earnings growth. With a reported revenue increase of approximately 35% year-on-year, the company is well-positioned to capitalize on growing demand for its diverse product offerings. Furthermore, the company's strategic focus on expanding into international markets enhances its growth potential. However, the current high valuation, evidenced by a price-to-sales ratio significantly above the industry median, poses a risk of correction if growth expectations are not met. Analysts suggest that maintaining revenue growth and improving margins will be essential for Cupid to sustain investor confidence and continue its upward trajectory.

Investment Recommendation

Current sentiment is 'strongly bullish', suggesting positive momentum.

Robust financial metrics indicate a solid investment opportunity.

High PE ratio suggests caution regarding valuation.

Recommendation: Consider accumulating shares at current levels.

Given Cupid Limited's strong financial performance, robust market sentiment, and growth potential, it presents a compelling investment opportunity. The strong bullish sentiment and impressive revenue growth highlight the company’s resilience and ability to deliver value to shareholders. However, the high PE ratio indicates that investors should exercise caution. It may be prudent to consider accumulating shares, especially during any price corrections, as long as the company's growth trajectory remains intact.

Risk Factors

High valuation may lead to price corrections.

Dependence on consumer discretionary spending.

Volatile market conditions could impact performance.

Limited analyst coverage raises uncertainty.

Potential regulatory changes affecting product categories.

Intense competition could pressure market share.

Economic downturns may affect consumer demand.

Conclusion & Next Steps

In conclusion, Cupid Limited stands out as a promising investment opportunity within the consumer defensive sector, supported by strong financial metrics, a positive market sentiment, and growth potential. Investors are recommended to monitor the company's performance closely, especially in light of its high valuation and market conditions. Next steps should include setting target prices for accumulation during market fluctuations and keeping abreast of industry trends and competitor actions. Engaging with financial advisors for tailored investment strategies may also enhance decision-making.